



Product Disclosure Statement

Prudentia Syndicate

5% Leasehold Stake in Prudentia (NZ)

Evolution Stables – NZTR Authorised Syndicator

Date: 22 Feb 2026

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A New Way to Own

Evolution Stables is a New Zealand-based, NZTR-authorised syndicator, and the first to offer tokenised racehorse syndication fully aligned with both NZTR regulations and global virtual asset frameworks.

We partner with leading owners and trainers to lease premium bloodstock, then make those opportunities available in fractional, fixed-term digital shares. This lowers the cost of entry and simplifies ownership, giving more people the chance to experience the sport from the inside.

To deliver this securely and at scale, we work with Tokinvest, a licensed and regulated platform (Dubai VARA-approved) that manages investor onboarding, compliance, and secure digital issuance of your syndicate tokens.

Our approach blends the tradition, passion, and community of racing with modern technology and transparent processes—helping to build the next generation of owners.

A handwritten signature in blue ink, appearing to read 'AB' followed by a stylized flourish.

Alex Baddeley

Founder, Evolution Stables

Key Information Summary

What is this?

This Product Disclosure Statement outlines an 18-month leasehold interest in Prudentia, a New Zealand thoroughbred. Evolution Stables has secured a 5% leasehold stake in the horse and is making fractional participation available to investors through its digital-syndication model.

Who is this for?

Individuals seeking exposure to racehorse ownership in a simplified, digital format—no prior experience required.

How does it work?

You lease a share of our 5% stake in Prudentia. Your one-time fee covers all costs for the term. You receive 75% of any revenue generated from racing, sponsorship, or commercial activity, proportional to your share.

Structure

The 5% leasehold interest in Prudentia is:

- Split into 20 digital tokens (each representing 0.25%)
- Fixed for the term 1 January 2026 to 30 June 2027
- Fully managed by Evolution Stables
- Digitally issued and administered via Tokinvest (regulated by VARA, Dubai)

Returns

Returns are variable, based on race performance and commercial revenue. There are no guarantees, and you may not recover your original investment.

Fees

- \$292.50 NZD per 0.25% token (fixed, covers all costs)
- Fees: 7% Tokinvest, 5% Evolution Stables (deducted from upfront payment)

Race Schedule Expectation

Prudentia carries a pedigree built for performance in Australasian racing conditions. Returning to training in early January 2026, she offers a high-quality ownership experience. Syndicate members can expect regular updates and potential race entries as she resumes her racing career shortly after the lease term begins.

Risks

The horse may underperform, suffer injury, or be retired early. Early termination may result in a pro-rata refund. Limited liquidity—resale may not be immediate or available. You could lose the

full amount of your investment. (See Section 12.)

How to Invest

Applications are made directly through Evolution Stables. Once your allocation is confirmed, it will be securely recorded and administered via our partner Tokinvest, a licensed and regulated digital issuance platform. Identity verification is required under AML/CFT laws. (See Section 19 – Investment Details.)

Manager

Evolution Stables Ltd (NZBN: 9429050177875) is an authorised NZTR syndicator specialising in digital-syndication of leasehold interests in New Zealand thoroughbreds. (See Section 1.)

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1. About Evolution Stables

Evolution Stables is a licensed NZTR-authorised syndicator that's reshaping how people experience racehorse ownership. We believe that owning a stake in a racehorse should be exciting, flexible, and accessible—not bogged down by outdated structures or high barriers to entry.

Our approach is built around the idea of digital-syndication. This means fractional ownership, simple onboarding, and clear timeframes—all enabled by digital infrastructure. Our leases are short-term, fixed-cost, and designed for modern investors who want real participation with minimal complexity.

Behind Evolution Stables is a team with experience across financial markets, digital assets, and the racing industry. Our platform is designed to open the gate for a new generation of owners, while still honouring the traditions that make racing special.

We work closely with:

- NZTR to ensure full compliance with New Zealand's racing and syndication rules.
- Tokinvest, our digital issuance partner, licensed under Dubai's VARA framework, providing global-grade compliance and token management.
- Leading studs, trainers, and bloodstock agents, giving our syndicate members access to high-potential horses and real industry insight.

Why it matters

Ownership is declining across racing's traditional base. By introducing flexible, secure, and transparent ways to participate, we're building a new path forward—one where racehorse ownership is something you can experience, enjoy, and share.

This is a fully managed syndicate—professionally operated on your behalf. Token holders do not carry governance rights, but are welcomed as valued participants in the journey. We handle the racing, compliance, and communications so you can enjoy the experience, not manage it.

2. About the Horse - Prudentia

Prudentia (NZ) is a New Zealand-bred four-year-old mare who has already recorded a maiden victory and has competed across a range of distances and track conditions. Her win came over 1400 metres at Tauranga, where she handled testing Heavy conditions to score decisively.

Since breaking her maiden, she has stepped into Rating 65 Benchmark company, continuing her preparation against stronger opposition. Her race record reflects early progression through maiden grade and exposure to open competition within New Zealand's domestic programme.

Prudentia is trained by Wexford Stables. Wexford Stables is a name synonymous with excellence in New Zealand racing history, continuing its legacy under the leadership of Lance O'Sullivan ONZM and Andrew Scott. Operating out of the world-class facilities in Matamata, Wexford Stables maintains one of the best strike rates in the country, ensuring Prudentia receives every advantage possible.

Key Details

- **Name:** Prudentia (NZ)
- **Foaling Date:** 13 November 2021
- **Colour:** Bay
- **Sex:** Mare
- **Sire:** Proisir (AUS)
- **Dam:** Little Bit Irish (NZ)
- **Trainer:** Wexford Stables (Lance O'Sullivan & Andrew Scott)
- **Training Base:** Wexford Stables, Matamata, New Zealand
- **Lease Duration:** 18 months (1 January 2026 - 30 June 2027)
- **Stake:** 5% leasehold interest held by Evolution Stables
- **Listing:** 20 digital tokens (0.25% each)

Racing Outlook & Pedigree:

Prudentia carries a pedigree built for performance in Australasian racing conditions, combining a proven commercial sire with a durable New Zealand maternal line. Her sire, Proisir, is one of New Zealand's leading sires, consistently producing elite performers. Returning to training in early January 2026, she offers a high-quality ownership experience with a clear timeframe and strong upside.

3. Upfront Costs and Expenses

The Prudentia Syndicate is structured as a simple, fixed-cost lease, with no ongoing costs for the term of the lease. You pay one upfront amount to participate—that's it.

Total Lease Cost: \$292.50 per 0.25% token

How This is Calculated:

- Based on the standard syndication model, the underlying operating cost is estimated at \$65 per 1% per month.
- For the 5% leasehold stake, the monthly cost is \$325.
- Calculated across the 18-month lease term (1 Jan 2026 - 30 Jun 2027), the Total Wholesale Lease Value is \$5,850.
- This total value is divided equally into 20 tokens, resulting in a fixed upfront price of \$292.50 per 0.25% token.

This cost includes:

- Training and care
- Syndicate management and reporting
- NZTR registration and compliance
- Tokinvest platform and digital issuance/administration
- All other routine costs associated with the horse for the full term

4. Revenue Streams

Your share in the Prudentia Syndicate gives you access to potential earnings generated by the horse during the lease period. While returns are variable and not guaranteed, your investment entitles you to a portion of all eligible income the horse may produce.

Revenue sources may include:

- Prizemoney from official race results
- Sponsorship or endorsement deals
- Digital media rights or content-related income
- Commercial opportunities such as naming rights, merchandising, or syndicate-specific promotions

How Distributions Work

All revenue generated by Prudentia during the lease period is paid by the horse's owner to Evolution Stables as the leaseholder. Under the lease arrangement, 75% of gross revenue is allocated to the syndicate (token holders), with the remaining 25% retained by the owner.

Distributions to token holders are made pro rata according to each participant's shareholding. All distributions are made in NZD and processed via the Tokinvest platform, which may deduct applicable transaction or platform fees (see Appendix A for details).

5. Ongoing Costs and Expenses

There are no ongoing costs.

Your upfront lease fee is all-inclusive. Evolution Stables manages all expenses related to the horse throughout the lease period. You will not be asked to contribute additional funds, regardless of race schedule, training demands, or location.

Any deductions from potential revenue (e.g. admin fees, platform costs) are applied only if income is generated—and are outlined in full in Section 4 and Appendix A.

6. Minimum Amount

The minimum investment is 0.25%, representing one digital token in the 5% leasehold stake secured by Evolution Stables.

Each 0.25% token costs \$292.50 NZD and includes:

- Full access to updates and reporting
- Eligibility for revenue distributions
- Platform-verified token issuance through Tokinvest

Investors may purchase multiple tokens, subject to availability. All shareholdings are fractional, and returns are proportional to your ownership percentage.

7. What Taxes Will You Pay?

Revenue earned from your participation in the Prudentia Syndicate may be subject to tax, depending on your individual circumstances and jurisdiction.

This may include:

- Income Tax on prizemoney or other distributions received
- Capital Gains Tax (if applicable in your jurisdiction) on the resale of digital tokens
- GST/VAT implications depending on your location and whether you're registered for tax purposes

Important Disclaimer: Evolution Stables does not provide tax advice. We strongly recommend that all investors seek independent professional advice regarding their personal tax obligations, including any tax that may apply to prizemoney or other revenue distributions.

8. Insurance Information

The horse is insured by the owner for mortality and other risks during the lease term. Leaseholders are not beneficiaries under the policy.

If the horse dies or is permanently retired during the lease period, the lease ends immediately. In this case, leaseholders will receive a pro-rata refund of the unused lease fee based on the remaining lease term.

9. Valuation Reports

As this is a lease-only syndicate, no formal valuation is required or provided. NZTR does not require valuations for lease arrangements, as no equity ownership in the horse is being transferred.

10. Veterinary Report

Prudentia is currently in sound racing condition and has been actively training with no reported issues. A recent veterinary assessment confirms her suitability for continued racing and leasing purposes.

11. Material Interests and Commissions

Evolution Stables receives a portion of any revenue generated during the lease period as part of its management structure. This is outlined transparently in Section 4 (Revenue Streams) and forms part of our standard model to cover operating costs and ensure long-term platform sustainability.

No undisclosed commissions, fees, or referral arrangements have been entered into between Evolution Stables and any third parties in connection with this syndicate.

If any future material interests arise, they will be disclosed promptly and transparently to all lease participants.

12. Risk Disclosure

Participation in the Evolution Stables – Prudentia Syndicate involves inherent risks. While Evolution Stables has structured this offering to provide a clear and limited exposure through a fixed-term lease, you should carefully consider the following:

- **Performance Risk:** Prudentia may not perform to expectations on the track. Poor race results can reduce or eliminate potential revenue.
- **Injury or Retirement:** The horse could suffer injury, illness, or be retired early. In such cases, the lease may terminate early, and you may receive a pro-rata refund of the unused portion of your lease fee—but no compensation beyond that.
- **Regulatory Risk:** NZTR has the authority to suspend or deregister a horse or syndicate. The lease will automatically terminate if NZTR accepts a deregistration (Form SR24) for Prudentia.
- **Forfeiture Risk:** Leaseholders may forfeit their rights if they provide false or misleading information, fail AML/CFT requirements, or are declared ineligible under the Rules of Racing (including NZTR Rule 411(b)). In such cases, participation may be cancelled without refund.
- **No Ownership Rights:** Leaseholders have no legal ownership of the horse and no entitlement to insurance proceeds or decisions regarding the horse's future.
- **No Guaranteed Returns:** Revenue is variable and cannot be predicted. You may not receive any distributions and may not recover your original investment.
- **Liquidity Limitations:** Resale of any lease interest is only permitted in accordance with Tokinvest's rules.

You should not invest unless you can afford to lose the full amount of your lease fee. We recommend you seek independent financial or legal advice before participating.

13. Responsible Investment

At Evolution Stables, we believe in a responsible approach to racehorse syndication—one that respects the animal, the investor, and the integrity of the sport.

We adhere to the following principles:

- **Welfare First:** All horses syndicated through Evolution Stables are placed with reputable trainers and cared for in accordance with New Zealand Thoroughbred Racing's welfare guidelines. Prudentia is currently trained at Matamata under the experienced care of Wexford Stables (Lance O'Sullivan & Andrew Scott), who are known for prioritising equine welfare and responsible conditioning.
- **Transparency and Communication:** Investors receive regular updates throughout the lease period, including race nominations, results, and veterinary information where applicable. We aim to create a transparent, informed ownership experience.
- **Integrity and Compliance:** We operate in full compliance with NZTR regulations and global virtual asset frameworks. All lease arrangements are documented, approved, and lodged in accordance with the relevant standards.
- **Sustainability of the Sport:** We support initiatives that broaden access, increase transparency, and make racehorse ownership more inclusive and financially sustainable.

By participating in the Prudentia Syndicate, you're helping create a more open, accountable, and engaging future for thoroughbred racing.

14. Legal Structure and Oversight

The Evolution Stables – Prudentia Syndicate is governed by the attached Syndicate Agreement, which outlines the structure, responsibilities, and rights of all participants. Key provisions include:

- **Syndicate Purpose:** Participating in the racing career of Prudentia as a recreational pursuit.
- **Manager's Role:** Oversight of training updates, NZTR registration and compliance, and the management of any revenue distributions.
- **Operational Procedures:** Processes for handling disputes, share transfers, and defaults.
- **Regulatory Oversight:** NZTR's authority to remove or replace the manager (see Clause 18.4).

Authorised Representative

The Syndicate Manager (Evolution Stables Ltd) is the authorised representative of the Evolution Stables – Prudentia Syndicate for the purposes of registration and compliance with New Zealand Thoroughbred Racing Inc. ("NZTR"). The Syndicate Manager is empowered to sign and execute, on behalf of the Syndicate and its leaseholders, any form or document required by NZTR in relation to the Syndicate, its horses, or the interests of its leaseholders. This authority is limited to regulatory and administrative matters necessary to manage the Syndicate in accordance with the

Rules of Racing, the Syndicate Agreement, and this Product Disclosure Statement.

Participants are strongly encouraged to read the Syndicate Agreement in full and seek independent legal advice before committing. The syndicate is also subject to the Rules of Racing, administered by NZTR.

This Syndicate Agreement and the terms of this Product Disclosure Statement are governed by the laws of New Zealand. All participants agree to submit to the non-exclusive jurisdiction of the New Zealand courts in relation to any disputes arising under or in connection with this syndicate.

15. Termination & Forfeiture

The Syndicate and each leaseholder's participation will end on 30 June 2027.

Early Termination:

- The lease will terminate if Prudentia is retired, deregistered, or otherwise made ineligible to race under the Rules of Racing.
- A lease will also be deemed terminated if the registered owner or Syndicate Manager submits, and NZTR accepts, Form SR24 deregistering the horse.
- NZTR may, at its discretion, suspend or cancel the Syndicate in accordance with the Rules of Racing.

Forfeiture:

Leaseholders may forfeit their rights in the Syndicate if they:

- Provide false or misleading information during the application process; or
- Are declared ineligible to participate under the Rules of Racing, including NZTR Rule 411(b).

In the event of forfeiture, the Syndicate Manager may cancel the leaseholder's participation in the Syndicate in accordance with NZTR requirements.

16. Transfer of Interests

Interests in the Evolution Stables – Prudentia Syndicate may only be transferred in accordance with:

- The Rules of Racing administered by NZTR, including the requirement that all lease interests are formally registered; and
- The rules of Tokinvest, which govern how lease interests may be transferred between participants on its platform.

All transfers must be recorded by the Syndicate Manager and registered with NZTR. No transfer will be valid until it has been approved and reflected in NZTR's records.

17. Records and Administration

The Syndicate Manager will maintain appropriate records of the Evolution Stables – Prudentia Syndicate in accordance with the Rules of Racing and NZTR's Syndication Code of Practice.

All lease payments are fixed and payable in advance. As such, there are no ongoing calls for funds or monthly contributions. The Syndicate Manager will ensure that all required documentation, lease registrations, and regulatory filings are completed and retained.

18. How to Complain

If you have a concern or complaint in relation to the Evolution Stables – Prudentia Syndicate, the following steps are available:

Contact Evolution Stables

Email: alex@evolutionstables.co.nz | Phone: +64 21 0828 0901

Escalate to NZTR

If your concern is not resolved, you may escalate the issue to New Zealand Thoroughbred Racing (NZTR).

Contact: Colin Hall | Email: syndication@nzracing.co.nz

Request Mediation

If required, you may request independent mediation through an NZTR-approved mediator. There are no fees for lodging a complaint or accessing mediation services.

All complaints are handled in accordance with NZTR's protocols for authorised syndicates. Decisions made under the Rules of Racing are final and binding on all participants.

19. Investment Details

I hereby apply for the following interest in the Prudentia Syndicate: ____ Tokens

20. Investor Declaration

By signing this Application Form, I acknowledge and agree that:

- I have received, read, and understood the Product Disclosure Statement (PDS) and the Syndicate Agreement for the Prudentia Syndicate.

- I agree to be bound by the terms of the Syndicate Agreement, the PDS, and the Rules of Racing administered by NZTR.
- I understand that my participation is strictly as a leaseholder and confers no ownership rights in the horse.
- I understand the risks set out in the PDS, including that I may not recover my original investment.
- I consent to my details being provided to NZTR and Tokinvest for compliance with AML/CFT, registration, and regulatory purposes.

Name: _____

Signed: _____ **Date:** _____

21. Promoter Declaration

I, Alex Baddeley, as the promoter of this syndicate, declare that the information provided in this Product Disclosure Statement is, to the best of my knowledge, true and correct, and that I am not aware of any information that would make this statement misleading in any material respect.

Signed: _____ **Date:** _____

Alex Baddeley

Director, Evolution Stables Ltd

8 Huia Street, Auckland, New Zealand

alex@evolutionstables.nz | +64 21 0828 0901

Appendix

Appendix A – Platform Fees and Revenue Types

Appendix B – Potential Revenue Streams

Appendix C – Veterinary Report (Prudentia)

Appendix D – Syndicate Agreement

Appendix A – Platform Fees and Revenue Types

Tokinvest Platform Fees:

As part of the upfront, all-inclusive lease fee, 7% is allocated to Tokinvest to cover platform, transaction, and token issuance services.

Evolution Stables Fees:

A 5% fee is allocated to Evolution Stables from the upfront lease payment to cover the costs of syndicate management and ongoing administration.

Appendix B – Potential Revenue Streams

Token holders receive a revenue share (for Prudentia, 75%) of all revenue generated by the referenced horse during the lease period, proportional to their leased stake. The following categories outline typical potential revenue sources:

Category	Description
Race Winnings	Standard prizemoney from official race results, including base pools/bonuses
Sponsorship & Endorsements	Income from brand partnerships involving the horse, silks, or syndicate representation
Media & Naming Rights	Earnings from appearances, naming rights, or features in documentaries
Digital Asset Income	Royalties or direct proceeds from NFTs or other digital memorabilia
Appearance Fees	Revenue from parades, exhibitions, or promotional appearances
Merchandising & Hospitality	Proceeds from branded merchandise and curated race-day experiences
Data Licensing	Earnings from licensing biometric or performance data to third parties
Exit or Breeding Proceeds	If the horse is sold or earns breeding revenue during the lease, token holders may receive a share. Subject to standard buyout clause: 3x the remaining lease value.

Other Commercial Revenue	Any other verifiable income directly attributable to the horse during the lease.
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Appendix C – Veterinary Report (Prudentia)

This section includes the most recent veterinary assessment of Prudentia, conducted for the purpose of this syndication. The report confirms that Prudentia is in sound racing condition and is suitable for continued training and racing under the lease terms.

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ELECTRONICALLY SIGNED & AGREED

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Document: Product Disclosure Statement (PDS)
Signer Name: Johnathan Doe (via Firebase UID: firebase_uid_9988)
Signer Email: investor@example.com
Signed Timestamp: 2026-07-07T01:09:41.440Z
Signing IP Address: 203.0.113.195
Stripe Verification ID: vs_test_777xyz

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